

FLEX SUPREME

PRIMARY				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type ¹
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	80	65	
	3,000,000	75	N/A	
700	2,000,000	80	75	
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type ¹
700	2,000,000	80	75	SFR, PUD, Warrantable Condo
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property ¹
700	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
Housing & Credit Event Seasoning Requirements				
Credit Event Minimum Requirements BK/FC/SS/DIL/Mod	Borrowers with significant derogatory credit events must meet the following criteria: • Max DTI 43% • All borrowers must have reestablished acceptable credit verified after the credit event. • Borrowers with unrelated multiple significant credit events are ineligible. • Minimum 4 years must have elapsed from the date of the credit event. • FTHB - requires >= 7 years seasoning from the completion date of a significant derogatory credit event.			
Geographic Restrictions				
• HI: Delegated Correspondent Channel only • IL: Ineligible only for TRID Loans located in Cook, Kane, Peoria and Will Counties, IL. ◦ Restriction does not apply to Correspondents. • MD: Baltimore City Row Homes are ineligible. • TX: Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible.				
General Requirements				
Product Type	• 30-Yr Fixed Fully Amortizing • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing). • 5/6 & 7/6 SOFR ARMs - Fully Amortizing only, qualify at higher of fully indexed			
Interest Only	• Min 700 FICO and Max 75% LTV. FTHB ineligible.			
Loan Amounts	• Min \$100,000 and Max \$3,000,000			
Max DTI	• 50%. When DTI is > 43%>= 740 FICO is required.			
Occupancy	• Primary and Second Homes, Investment Properties.			
Loan Purpose	• Purchase, Rate/Term, and Cash Out			
2-1 Buydown	• Not permitted.			
Cash Out	• Minimum of 6 (six) months seasoning from most recent transaction • <=70 LTV: Unlimited and >70 LTV: \$500,000			

	• Refinance of an existing Texas 50(a)(6), Texas Section 50(a)(4) and Texas Section 50(a)(3) are ineligible. • Not permitted in Declining Markets	
Rate and Term	• Max cash back is the lesser of \$5,000 or 2% of the loan amount.	
Borrower Eligibility	• US Citizens • Permanent Resident Aliens • Non-Permanent Resident (H1B & L1 Visas only) Max 75% LTV • Non-Occupant Co-Borrowers for OO only, Max 43% DTI, Cash out not permitted. • First Time Home Buyers (FTHB) – Restrictions apply	Ineligible: • ITINs • DACA • Foreign Nationals
Property Type ¹	Single Family/PUD (Attached/Detached)	• SFR with 1 or more ADUs; or see 2-4 Units below.
	2-4 Units	• Max 75% LTV • Not eligible for FTHBs • 2-4 units with 1 ADU allowed if permitted by the local municipality. The appraiser must specifically confirm compliance with local regulations.
	Condos ¹	• Warrantable Condominiums¹: Max 75% LTV • Non-Warrantable Condos and Condotels are not permitted.
	Acres	• Max 10 acres
	Leasehold	• Leasehold not permitted
Rural Properties	• Rural Properties Primary Residence only • Max 70% LTV • Cash-Out not permitted • See Guidelines	
Appraisals	• FNMA Form 1004, 1025, 1073 with interior/exterior inspection. • 2nd Appraisal required for loans > \$2,000,000. • Appraisal Review Product required on all loans with an SSR over 2.5 except for those with a full second appraisal.	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV. • Cash Out not permitted in Declining Markets.	
Full Doc - Income Requirements		
Wage Earners	• Paystubs, W-2, tax transcripts or IRS Form 4506-C • Verbal VOE required within 30 days of Note Date	
Self-Employment	• 1- or 2-Years of Personal and Business Tax Returns, YTD P&L, IRS Form 4506-C, 2 months of most recent bank statements • Verbal VOE requires within 30 days of the Note Date	
Alt Doc - Income Requirements		
Stability and Continuance Self-Employment	• Sellers must verify the borrower's self-employment for the most recent consecutive 2 full years in the same business.	
Personal Bank Statements	• 24 or 12-months of Personal and 2-months of business bank statements • Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements. • Business bank statements must reflect business activity and transfers to the personal account. • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history	
Business/Co-Mingled Bank Statements:	• 24 or 12-months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA). • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.	

Asset Utilization (Standalone only)	• May not be used as supplemental income. • Not permitted for Investment Properties. • Assets must be seasoned for three (3) months to be deemed eligible. • Monthly Income Calculation = ◦ Net Qualified Assets / 84 Months. • <u>Restrictions:</u> ◦ Cash-out transactions are ineligible. ◦ Max LTV must be reduced by 10%. • <u>Ineligible Assets:</u> ◦ Business assets. ◦ Unseasoned Foreign Assets. ◦ Proceeds from sale of real estate which is not seasoned for a minimum of three (3) months. ◦ Privately traded or restricted / non-vested stocks. • Assets which produce income already included in the income calculation.
IRS Form 1099	• Borrowers receiving 1099 income are eligible provided that they are individuals paid via 1099 but are not business owners of the entity issuing the 1099; and meet the required 2 most recent consecutive full years of employment with the same employer(s). • 2-Years' 1099 • Fixed Expense Ratio of 10%. • YTD documentation to support continued receipt of income from each employer or NQMF VOE when 1099 is > 90 days from the Note date. • Not permitted for Investment Properties.
Underwriting Requirements	
Housing/Rental History	• 0x30x12 • FTHB 0x30x24
DTI Requirements	• Max 50% - When DTI is > 43% min 740 FICO required.
Credit Score	The qualifying score will be based on the highest income earner's score; qualify as follows: • The highest middle score of 3 scores will be used to qualify. • A minimum of 2 scores is required. • Borrowers with 2 credit scores: use the lower of the two scores to qualify.
Tradelines	• Tradeline requirements are not waived when the Primary has 3 credit scores. • Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit. • Trades must reflect an acceptable payment history to be considered – no exceptions. • Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable (provided it was closed in the last 12 months). • Deferred accounts (w/o payment history) cannot be used to meet the min requirement. • Borrowers who do not meet the requirements above are ineligible.
First Time Home Buyers	• 1-Unit Primary Residence only • 0x30x24 rental history • Max DTI <= 43% • Interest Only not permitted. • At least 1 borrower must have a 24-month rental history. • Min 7-years seasoning for credit events. • When at least one borrower has owned a residential property in the prior 3 years, the FTHB requirements do not apply.
Reserves	• <= \$500,000 = 3 months PITIA • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,000,000 = 12 months PITIA • Cash-out proceeds may be used to satisfy reserves.
Gift Funds	• Permitted on 1-unit properties only, provided borrower meets the minimum contribution. ◦ 5% primary

	○ 10% second home and investment properties • Gift Funds may be used for down payment and closing cost, up to 100%, for OO and SH to 75% LTV. • Gift funds may only be used for down payment and closing costs for NOO after meeting the 10% minimum contribution regardless of LTV. • Gift funds are not permitted to be used towards reserves.
Assets	• 30-day asset verification required • Deposits > 50% of gross income must be documented for purchases.
Residual Income	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43%: • 1 person = \$1,500 • 2 persons = \$2,500 • Add \$150 per additional household member.
Age of Documentation	• Credit - 120 days. • Income and Assets - 90 days
Prepayment Penalty	• Required where permitted for investment properties. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • Not permitted on primary residence or second homes.
Interested Party Contributions	Primary Residence and Second Homes: • <= 75% LTV = 9% • > 75% = 6% Investment Properties: • All Max 6%

FLEX SELECT

PRIMARY				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	90	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and non- Warrantable), Condotels Co-ops and 2-4 Units <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	85	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	80	75	
	2,000,000	80	75	
	2,500,000	75	70	
	3,000,000	70	65	
660	1,000,000	80	70	
	1,500,000	75	65	
	2,500,000	70	60	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	85	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and Non- Warrantable), Co-ops, Condotels <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	

INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term	Max LTV Cash-Out Refinance	Property Type
760	1,500,000	85	80	Single Family, PUD, Condominiums (Warrantable and non- Warrantable), Co-ops, Condotels and 2-4 Units See restrictions under General Requirements below
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	
Housing History and Housing Event Seasoning Restrictions Ch.13: use filing date if discharged; use dismissal date if dismissed.				
Housing History	1x30x12	2 x 30 x 12	0x60x12	0x90x12 O/O Only
BK/FC/SS/DIL/Mod:	>=48 Mo	>= 36 Mo	>= 24 Mo	>= 12 Mo
Max LTV/CLTV:	90	80	70	65
Max LTV Cash-out	80	75	70	NA
Max Loan Amt:	3,500,000	3,000,000	2,000,000	2,000,000
Geographic Restrictions				
- FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible. - HI: Wholesale – Ineligible, Does not apply to Correspondents. - IL: Ineligible only for TRID Loans located in Cook, Kane, Peoria and Will Counties, IL - Restriction does not apply to Correspondents. - MD: All Row Homes located in Baltimore City are ineligible. - NY: - No 5/6 ARMs on OO loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).				
General Requirements				
Product Type	40-Yr Fixed, 30-Yr Fixed, 15-Yr Fixed 40-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing). 5/6 SOFR ARM, 30-Yr Term – Fully Amortizing 5/6 SOFR ARM I/O, 30-Yr Term and 40-Yr Term 40 year products and terms are not permitted for Manufactured Housing			

	• I/O products are not available for Express (DU)	
Interest Only	• Min Credit Score: 680 • Max LTV: 80% • Max DTI 50%	
Loan Amounts	• Min: \$125,000 and Max 3,500,000 • Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV.	
Max DTI	• Max 50% DTI. Will consider up to 55% with restrictions (See Underwriting Requirements below).	
Occupancy	• Primary, Second Home; and Investment Property (Business Purpose)	
Loan Purpose	• Purchase, Rate/Term and Cash Out	
2- 1 Buydown	• Purchase Only • Minimum Score 680 • Max LTV 80% • Max DTI 50% • 30 Year Fixed Only • Qualify using Note Rate • O/O, 2nd Home and Investment Properties. • Seller or Builder Funded Only • Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only.	
Cash Out	• Minimum of six (6) months seasoning from most recent transaction. See guidelines for details. • Max cash-out (defined as cash in hand): ◦ If LTV <= 60% = Unlimited ◦ If LTV > 60% = Max \$1,000,000 or unlimited with 18 months reserves exclusive of cash back. • Condos: Max 75% LTV	
Rate & Term	• Max cash back is the lesser of \$5,000 or 2% of the loan amount.	
Borrower Eligibility	• US Citizens • Permanent Resident Alien • Non-Permanent Resident Alien (US Credit Only)	Ineligible: • ITINs • Foreign Nationals • DACA (Refer to Select ITIN Program)
Non-Occupant Co-Borrower	• Primary Occupancy Only • No Cash-out Refi • Rate & Term Refi (non-occupant must be on current loan) • Max DTI Total DTI 50% (Max 65% DTI for Occupying Borrower) • Non-occupant must be a relative • Max Loan Amount \$1,000,000	
First Time Homebuyer	• Permitted to a maximum loan size of \$1.5M on O/O, SH and NOO.	
Property Types	Single Family, PUD or Townhouse LTV Limits	• SFR with 1 or more ADUs are permitted if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations. See 2-4 Units below.
	Condos LTV Limits	• Condos – Warrantable / Non-Warrantable ◦ Purchase & Rate/Term: Max 85% LTV ◦ Cash-out: 75% LTV - Limited Review Established Condos Outside of Florida (Warrantable) LTV/CLTV Limits: ◦ Primary 85%, SH 75%; and NOO 75% - Limited Review Established Condos in Florida (Warrantable) LTV/CLTV Limits: ◦ Primary 75%/90%; SH 70%/75%; and NOO: 70%/75%
	2-4 Units	• Lower of Matrix LTV or max 85% LTV • 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations.
	Co-ops	• Co-ops: Eligible for the Delegated-Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes). ◦ Available in New York City - 5 Boroughs ONLY: Bronx, Brooklyn, Manhattan, Queens & Staten Island. ◦ Max 80% LTV.
	Manufactured Housing	• Manufactured Housing – Eligible for the Delegated-Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes): ◦ Min 20' wide (Double-wide), min 750+ sq ft, must meet "HUD Code" including: be built on a perm chassis, installed on a perm foundation, and title as real estate (Refer

		- to the Guidelines for additional requirements). - o Eligible Transactions: Cash-Out not permitted, OO/SH only, min FICO 680, Max 80% LTV. - o May not be older than 15 years old or if in need of repairs (as per the appraisal) of more than 5% of the property value. - o NOO and Interest Only loans are not permitted.
	Condotel	Primary Residence: Purchase or Rate/Term: • Lesser of Matrix LTV or Max 85% LTV Cash-Out: • Lesser of Matrix LTV or Max 75% 2nd Home & NOO Purchase or Rate/Term: • 700+ lesser of Matrix LTV or Max 75%LTV • 680-699 lesser of Matrix LTV or Max 70% LTV Cash Out: • 700+ lesser of Matrix LTV or Max 65% LTV • 680-699 lesser of Matrix LTV or Max 60% LTV • Must have a full kitchen & 1 separate bedroom. • Must be in a resort area or affiliated with a national hotel chain. • Max Loan Amount \$1,500,000 • Max cash-out \$250,000
Rural Property		• Permitted with restrictions per Guidelines.
Appraisals	• 2nd Appraisal required for loans > \$2,000,000. • Appraisal Review Product to be ordered on all loans with an SSR over 2.5, with the exception of those with a full second appraisal. - Permanent Reside	
Declining Markets	• As identified by the appraiser, require a 5% LTV reduction off the above matrix when > 65% LTV.	
Acreage	• Max 20 Acres Owner Occupied & Second Home; Max 5 Acres Investment Properties	
Full Doc - Income Requirements		
Wage/Salary	• 1 or 2 years Paystubs, W-2 or e-VOE, tax transcripts or IRS Form 4506-C	
Self-Employment	• 1 or 2 years of Personal and Business Tax Returns, YTD P&L, IRS Form 4506-C, 2 months of most recent bank statements • Self-employment history of >=2 years is required. See Guidelines for acceptable scenarios when self-employment history is < 2 years.	
Alt Doc - Income Requirements		
Personal Bank Statements	• 24- or 12-months of Personal and 2-months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements. • The business bank statements must reflect business activity and transfers to the personal account.	
Business/Co-Mingled Bank Statements:	• 24- or 12-months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: - o Fixed Expense Ratio (50%); OR - o Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR - o 3rd party prepared Profit & Loss Statement (CPA or EA).	
P&L and 2 Months Bank Statements	• 24 or 12-month P&L, prepared by CPA or EA or PTIN licensed Tax Preparer. • Minimum of 2-months business bank statements • Max 80% LTV	
P&L Only	• Max Loan Amount \$1,500,000 • 700+ Score required : Max LTV is the lesser of the LTV on the Matrix or 80% OO; 75% SH & NOO. • 24- or 12-month P&L; prepared by CPA/EA or PTIN Tax Preparer. CPA/EA/PTIN Tax Preparer must also attest to having prepared the borrower's most recent tax returns. Verbal verification of P&L is required prior to closing. • Not permitted with Express (DU) or for licensed professionals with a business in existence for one year. • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L. Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income.	

IRS Form 1099	• 2-Years or 1-Year 1099 • Fixed Expense Ratio of 10%	• YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date.
Tip Income	Sample target borrower: restaurant server, bartender, cabdriver, etc. • Must have a history of receipt of at least one full year without gaps in employment. • WVOE with 2+ Months Bank Statements with 680 score to 80% LTV • May not be employed by a family member or related individuals.	
WVOE	• WVOE – FNMA 1005 completed with the past 2 years of income/employment. Form must be completed by Human Resources, Payroll, or an Officer of the Company. • Two (2) most recent months of bank statements supporting at least 65% of the gross wages reflected in the WVOE. • Verification of delivery and receipt of the FNMA Form 1005 required (see guidelines for requirements). • One-year history with the same employer with a minimum of two (2) years in the same line of work. • One-year 0x30 housing history is required; borrowers without a housing history are not permitted. • Borrowers may not be employed by family members or related individuals. • W2s, Tax Returns, Paystubs, 4506-C are not required. • Borrowers can have no other active source of income; passive income such as rental income may be included. • Minimum credit score 680; OO Max 80% LTV; SH and NOO Max 75% LTV. • Maximum loan amount \$1,500,000	
Asset Utilization	• OPTION 1: DEBT RATIO CALCULATION in addition to any other income type ○ When the DTI without asset utilization is $\leq 60\%$, follow the below calculation when determining the amount of income to use as secondary income from assets. The income calculation is as follows: ▪ Monthly Income = Net Qualified Assets / 36 Months • OPTION 2: Debt Ratio CALCULATION ASSET CALCULATION ○ When the DTI without asset utilization is $> 60\%$ or when the borrower’s entire income is comprised of income from assets, the monthly income calculation is as follows: ▪ Monthly Income = Net Qualified Assets / 60 Months • Qualified Assets must sourced and seasoned for 3 months. • Purchase/Rate & Term: > 85%LTV – permitted per the matrix provided the DTI is $\leq 60\%$ without using assets for income.	
Underwriting Requirements		
DTI Requirements	• Max 50% • 40 Yr Fixed Must Qualify as a 30-Yr at $\leq 55\%$ DTI. • 55% DTI (>50% to 55%) with the following restrictions: ○ Min FICO 680 ○ Max 80% LTV ○ 0x30x12 ○ Interest-Only is not permitted ○ Max loan amount \$2.5M ○ 40-yr term not permitted. ○ 48 months since a housing event ○ 2-1 Temporary Buydowns are not permitted. ○ Minimum monthly residual income of \$3,500 is required.	
Credit Score	• Representative Score: Middle of 3 scores or lower of 2 for Primary Income Earner. • Additional borrowers must have a minimum score of 540.	
Tradelines	• Primary wage earner has 3 scores: or • 2 open and reporting 24 months; or • 3 open and reporting 12 months; or • 24-months mortgage rating reporting on credit	

Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,500,000 = 12 months PITIA • Cash-out proceeds may be used to satisfy reserves. • When Asset Utilization is the sole source of income, reserves are not required.
Gift Funds	Gift funds permitted provided borrower meets minimum contribution: • 5% primary • 10% second home and investment properties • Gift Funds may be used for down payment and closing cost, up to 100%, for OO and SH to 80% LTV. • Gift funds may only be used for down payment and closing costs for NOO after meeting the minimum 10% contribution regardless of LTV. • Gift funds are not permitted to be used towards reserves.
Assets	• 30-day asset verification required • Deposits > 50% of gross income must be documented on purchases
Subordinate Financing	• Permitted on Owner Occupied and Second Homes. See the Flex NonQM Underwriting Guidelines.
Residual OO and 2nd Homes only	• Defined as Gross Monthly Income less Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43% on OO and 2nd homes only: • 1 person = \$1,500 • 2 persons = \$2,500 • Add \$150 per additional household member (related or unrelated)
Escrow Waivers	Waiving escrows for taxes and insurance* is allowed on non-HPML loans and for the following product types if housing/rental history is 0x30x12: • O/O, 2nd Homes and Business Purpose Loans (non-TRID) , 660 minimum score: up to 80% LTV. • California: 700 minimum score: up to 90% LTV • May not waive escrow for flood insurance premiums for properties located in zones A or V. Note*: Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed.
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Required on Investment Properties when permitted. See the "Business Purpose Licensing & PPP Restrictions" PDF in the Documents Tab in the Client Portal. • No PPP – Correspondent Only
Interested Party Contributions	• Primary and 2nd Homes: ○ <= 75% LTV = 9% ○ > 75% = 6% • Investment: ALL = 6%
Express (DU) Follow standard guidelines where silent in this section.	
Underwriting Method	• DU Approve Eligible and Approve/Ineligible • Ineligibility only due to loan size or feature, such as I/O. FTHB Max Loan Amount \$1,500,000
Income	• Max DTI: 50% • Follow program documentation requirements. • Follow program DTI restrictions. • Transcripts required for the number of years of income used to qualify on Full Doc loans. • P&L Only; and One Year Self Employment option for licensed professionals are not eligible for DU.
Credit	• Follow AUS except for housing history must be 0x30x12 and no extenuating circumstances for BK/Housing event

Non-Occupant Co-Borrower	• In addition to the Requirements above, Ratios for the Occupying Borrower and Non-Occupant Co-Borrower may be blended. All income may come from the Non-occupant co-borrower.
Housing History	• 0x30x12 • DU may waive the requirements for a rental history on certain DU casefiles, documentation is still required to support a 0x30x12 history. It is permissible to allow the waiver of cancelled checks for private party VORs when permitted per DU.
LTV/Score Eligibility	• 740-759 scores are ineligible for loans with LTV > 85% ; follow standard program requirements.
Reserves	• LTVs > 85% (See LTV/Score Eligibility section above): ○ Up to \$1.5M with 760+ Score = 6 months PITIA • LTV <= 85%: ○ Loans <= \$2,000,000 follow DU Findings ○ Loans > \$2,000,000 must meet product reserve requirements.
Appraisal	• Reduced Condo Reviews are not permitted. Appraisal waivers (PIW) are not permitted.

SELECT ITIN

PRIMARY					
Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/Term		Max LTV/CLTV Cash-Out Refinance	Property Type
		Full Doc	Alt Doc	Full / ALT Doc	
740	1,500,000	85*	80	80	1-Unit SFR/PUD, Condo (Warrantable and Non-Warrantable)
	2,000,000	80	80	80	
	2,500,000	75	75	70	
720	1,500,000	85*	80	80	
	2,000,000	80	80	75	
	2,500,000	60	60	60	
700	1,500,000	85*	80	80	
	2,000,000	70	70	70	
660	1,500,000	75	75	65	
720	1,500,000	80	80	75	2-4 Units
	2,000,000	75	75	60	
700	1,500,000	80	80	70	
	2,000,000	70	70	60	
680	1,500,000	75	75	70	
*Max 85% LTV: Full Doc & Purchase Only of 1-Unit SFR/PUD/TH (Condo: Ineligible). Alt Doc Purchase and R/T: Max 80% LTV.					
SECOND HOME					
Credit Score	Max Loan Amount	Max LTV/CLTV Purchase / Rate & Term		Max LTV/CLTV Cash-Out Refinance	Property Type ¹
720	1,500,000	75		70	1-Unit SFR/PUD, Condo (Warrantable and Non-Warrantable)
	2,000,000	75		60	
700	1,500,000	75		70	
	2,000,000	70		60	
660	1,500,000	70		60	
INVESTMENT PROPERTY					
Credit Score	Max Loan Amount	Max LTV/CLTV Purchase / Rate & Term		Max LTV/CLTV Cash-Out Refinance	Property Type ¹
700	1,500,000	75		70	1-4 Units, PUD, Condo (Warrantable and Non-Warrantable)
	2,000,000	75		70	
	2,500,000	70		65	
680	1,500,000	70		65	
	2,000,000	70		65	
	2,500,000	65		60	
660	1,500,000	70		60	
	2,000,000	60		N/A	
Housing/Rental History					
• 0x30x12 plus VOR/VOM is required. • 48 months seasoning for housing and credit event. • Borrowers who own their primary residence free and clear are considered to have an acceptable housing history					
Geographic Restrictions					
• FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible. • HI: Wholesale – Ineligible, Does not apply to Correspondents. • IL: Ineligible only for TRID Loans located in Cook, Kane, Peoria and Will Counties, IL. ◦ Restriction does not apply to Correspondents. • MD: All Row Homes located in Baltimore City are ineligible.					

- NY: - No 5/6 ARMs on OO loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).			
General Requirements			
Product Type	15-Yr Fixed, 30-Yr Fixed, Fully Amortizing 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 SOFR ARM 30-Year Term – Fully Amortizing 5/6 SOFR ARM I/O - 30-Yr Term - Interest Only Products listed above: Qualify off fully amortizing payment. - ARMs not available in NY on OO loans below the FNMA loan limit; not available in MS		
Interest Only	Min Credit Score: 680	Max LTV: 80%	
Loan Amount	- Min: \$125,000 and Max \$2,500,000 - Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV		
DTI Requirements	Max 50%		
Occupancy	Primary, Second Home; and Investment Property (Business Purpose)		
Loan Purpose	Purchase, Rate/Term, and Cash Out		
Cash Out	- Minimum of six (6) months seasoning from most recent transaction. See guide for details. - Max cash-out (defined as cash in hand): - If LTV <= 60% = Unlimited - If LTV > 60% = Max \$1,000,000 (Not eligible with DU opt for unlimited cash-out with 18 months additional reserves) - Condos – Max 75% LTV		
Borrower Eligibility	- ITIN must be valid and at least 2 years consistent ITIN payments reporting to the IRS is required. This can be validated with the borrower’s current ITIN # along with a 2-year employment history. - If multiple borrowers, one borrower must have ITIN. DACA is eligible with ITIN / SSN with Valid US driver’s license along with EAD card evidencing their DACA status.	Ineligible: - Irrevocable or blind trust - Inter-Vivos Revocable Trust - Limited partnerships, general partnerships, corporations. - Non-ITIN Borrowers	
Non-Occupant Co-Borrower	Permitted		
First Time Home Buyers	Permitted		
2-1 Buydown	- Purchase Only (Full documentation, and Alternative Documentation– Bank Statement only. - Minimum Score 680 - Max LTV 80% 30 Year Fixed Only - Qualify off Note Rate	- O/O, 2nd Home and Investment Properties. - See Guides for Max Interested Party Contribution Limits.	- Seller or Builder Funded Only - Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only.
Property Type	Single Family, PUD or Townhouse (1-Unit) LTV Limits	1-Unit SFR/PUD or Townhouse (Attached/Detached): - Purchase: Max 85% LTV for Primary only - Rate/Term: Max 80% LTV - SFR with 1 or more ADUs are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations. - See 2-4 Units below.	
	Condos LTV Limits	- Condos – Non-Warrantable: Max LTV is the lesser of the Matrix LTV or 75% LTV - Purchase and R/T: - OO = Max LTV/CLTV 75%/80% - SH/NOO = Max LTV 70%/75%	

		• Condos – Warrantable¹: Outside of Florida, Max 80% LTV • Limited Review Condos¹: Max 75% LTV
	2-4 Units LTV Limits	• 2-4 Units: Max 80% LTV • 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations.
	Rural Properties	• Rural properties (as defined in the Guides) permitted for Owner Occupied up to 80% LTV; max 20 acres. • Second Home and Investment Properties (non-DSCR) may be considered when the subject has <= 2 acres up to a max LTV of 75%.
Appraisals		• 2nd Appraisal required for loans > \$2,000,000. • Appraisal Review Product to be ordered on all loans with an SSR over 2.5, except for those with a full second appraisal.
Declining Markets		• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when > 65% LTV.
Acreage		• Max 20 acres
Full Doc Income Requirements		
Wage/Salary		• 1-2-yr's WVOE, tax transcripts or 4506-C • Not eligible for Express (DU) • 1-2 years' W-2 income, including but not limited to variable income, is calculated by using the previous years' WVOE unless the YTD income is declining. Declining income will be viewed on a case-by-case basis to determine stability of earnings.
Self-Employment		• 1-2-yr's 1040s plus tax transcripts or 4506-C, YTD P&L, plus 2-mos bank statements good through the P&L period end date, K-1s and Schedule E for business entities prior 1-2 yrs is >=25% ownership. • <u>Self-employment history of >=2 years is required. See Guidelines for acceptable scenarios when self-employment history is < 2 years.</u>
Rental Income		• Permitted - See Rental Income in Guidelines
Alt Doc Income Requirements		
12 or 24 Months Personal Bank Statements		• 24 or 12-months of Personal and 2-months of business bank statements. The business bank statements must reflect business activity and transfers to the personal account. • Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements.
12 or 24 Months Business Bank Statements		• 24 or 12-months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ◦ Fixed Expense Ratio (50%); OR ◦ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ◦ 3rd party prepared Profit & Loss Statement (CPA or EA).
12- or 24 Months IRS Form 1099		• 2-Years or 1-Year 1099 • Fixed Expense Ratio of 10%YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date.
Asset Utilization		• May be combined with Full Doc Income as primary source of income. • Monthly Income / 60 months • Eligible assets sourced and seasoned for 3-months.
Underwriting Requirements		
Credit Score		• A minimum of 2 credit scores is required. • 1 score is permitted when the credit report has sufficient tradeline activity, defined as follows: ◦ 3 trades reporting for 12+ months, OR ◦ 2 trades reporting for 24+ months, OR ◦ 2-year mortgage history. • Middle of 3 or lower of 2 scores for the primary wage earner is considered the qualifying score. When only one score is present, that score is considered the qualifying score. • Additional borrowers must have a minimum score of 540.
Tradelines		• Tradelines requirements are waived with three (3) scores. • Spouses may combine trades. • When only 2 scores are available, the below minimum tradelines are required:

	○ Two open and active trades reporting for 24 months OR ○ Three open and active trades reporting for 12 months; • Authorized user accounts and/or collections and charge-offs are not considered a valid tradeline. • If the borrower is unable to meet the above tradeline requirements, they may qualify using Non-Traditional Trades in the Guidelines.
FTHB	• Permitted to a maximum loan size of \$1.5M on O/O, 2nd Home, and NOO.
Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • Cash-out proceeds may be used to satisfy reserves. • When Asset Utilization is the sole source of income, reserves are not required.
Gift Funds	Gift funds permitted provided borrower meets minimum contribution: • 5% primary • 10% second home • Not permitted on NOO • 100% of down payment and closing costs may come from gifted funds for OO and SH to a maximum of 75% LTV. • Gift funds not permitted to be used towards reserves. • Gift of Equity allowed for Primary Residence only and 75% maximum LTV. Must meet all other requirements in the Gift Funds section of the Guidelines.
Assets	• 30-day asset verification required • Deposits > 50% of gross income must be documented on purchases
Subordinate Financing	• Not Permitted
Residual OO and 2nd Homes only	• Defined as Gross Monthly Income less Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43% on OO and 2nd homes only: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member
Escrow Waiver	• Not permitted.
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Required on Investment Properties when permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • No PPP – Correspondent Only
Interested Party Contributions	Primary and 2nd Homes: ○ <= 75% LTV = 9% ○ > 75% = 6% Investment: ○ ALL = 6%

SUPER JUMBO

PRIMARY					
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase	Max LTV/CLTV Rate & Term	Mx LTV/CLTV Cash-Out	Property
740	\$3,500,001 - \$4,000,000	70	70	60	SFR, PUD, Warrantable & Non-Warrantable Condo
720		65	65	55	
740	\$4,000,001 - \$4,500,000	65	65	55	
720		60	60	50	
740	\$4,500,001 - \$5,000,000	65	65	55	
720		60	60	50	
Housing History			Credit Event Seasoning		
0x30x24			48 months		
Geographic Restrictions					
• HI: Delegated Correspondent Channel only. • IL counties: Cook, Kane, Peoria, and Will: Not permitted for OO - Does not apply to Correspondents. • MD: Baltimore City Row Homes are ineligible.					
Program Description					
Program Description	• The Super Jumbo Program is a specialty product for high-net-worth borrowers with solid and stable income and credit, as well as considerable assets to cover down payment, closing costs and reserves.				
Underwriting	• Manual Underwriting only; Express (DU) is not permitted.				
General Requirements					
Product Type	• 30 Year Fixed Fully Amortizing • 40 Year Fixed IO (10 year I/O period, and remaining term fully amortizing)				
Interest Only	• Allowed per matrix LTVs above for Purchase, R/T and Cash-Out				
Loan Amounts	• Min \$3,500,001 – Max \$5,000,000				
DTI Requirements	• Max 38%				
Occupancy	• Primary				
Loan Purpose	• Purchase, Rate/Term and Cash-Out				
2-1 Buydown	• Not permitted.				
Cash-Out	• Max cash-out (defined as cash in hand): \$1,500,000. • Cash-Out proceeds may not be used to meet reserves				
Borrower Eligibility	• U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens		Ineligible: • First Time Home Buyers • Non-Occupant Co-Borrowers • ITIN Borrowers • DACA Borrowers		
Appraisal Requirements	• Two (2) Full Appraisals (interior/exterior).				
Property Types	• SFR/PUD 1-Unit • SFR, with more than one Accessory Dwelling Unit is not permitted. • Condo (Warrantable/Non-Warrantable) • Max 2 acres				
Rural Properties	• Not permitted.				
Declining Markets	• Purchase and R/T: the lesser of matrix LTV or max 65% • Cash-Out: the lesser of matrix LTV or max 55%				
Full Doc - Income Requirements					
Wage Earner	• W-2, tax transcripts or IRS Form 4506-C				
Self-Employment	• Self-Employed: 1 or 2 Years of Personal and Business Tax Returns, • YTD P&L, IRS Form 4506-C, 2 months of most recent bank statements. • Borrower must have a minimum of 2 full years in the current business.				
Alt Doc – Income Requirements					
Self-Employment	• Borrower must have a minimum of 2 full years in the current business. • Evidence within 30 days of the Note date that the business is active and operating				
Personal Bank Statements	• 24 months of Personal and 2-months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements. • The business bank statements must reflect business activity and transfers to the personal account.				
Business/Co-Mingled Bank Statements	• 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: o Fixed Expense Ratio (50%); OR o Expense Ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR o 3rd party prepared Profit & Loss Statement (CPA or EA).				
Asset Utilization	• Allowed as sole source of income only. • Eligible assets divided by 84 to determine a monthly income stream (sourced/seasoned for 3-months). • Purchase, Rate/Term and Cash-Out: follow LTV limits in matrix.				

Underwriting Requirements	
Credit Score	• Middle of 3 scores or lower of 2 for Primary Income Earner. • All borrowers must meet the 720 minimum score.
Tradelines	• Primary wage earner has 3 scores; OR • Min 2 open & reporting 24-months; OR • 3 open and reporting 12-months; OR • 24-months mortgage rating reporting on credit
Reserves	• > \$3.5M to \$4.0M: 12 months min PITIA reserves • > \$4.0M to \$5.0M: 18 months min PITIA reserves • Cash-Out proceeds may not be used to meet reserves.
Gift Funds	• Permitted after 20% contribution towards down payment, closing costs, prepaid and reserves are met from Borrower's own funds.
Assets	• 30-day asset verification required
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Not permitted
Escrow Waivers	• Not permitted

2ND LIEN

PRIMARY							
Min Credit Score	Max Loan Amount	CLTV	Loan Purpose	Max Exposure w/CLTV > 80%	Max Exposure w/CLTV 70.01-80%	Max Exposure w/CLTV <= 70%	Property Type ¹
740	500,000	85%	Purchase & Rate/Term Refinance	2,000,000	3,500,000	4,000,000	SFR
720		80%					
740		85%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
700		80%					
680		80%					
740	500,000	85%	Cash Out	2,000,000	3,500,000	4,000,000	SFR
720		80%					
700		80%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
680		75%					
SECOND HOME							
Min Credit Score	Max Loan Amount	CLTV	Loan Purpose	Max Exposure w/CLTV > 80%	Max Exposure w/CLTV 70.01-80%	Max Exposure w/CLTV <= 70%	Property Type
740	500,000	80%	Purchase & Rate/Term Refinance	2,000,000	3,500,000	4,000,000	SFR
720		75%					
740		80%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
700		75%					
680		75%					
740	500,000	80%	Cash Out	2,000,000	3,500,000	4,000,000	SFR
720		75%					
700		75%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
680		70%					
Housing History		Housing and Credit Event Seasoning					
0x30x24 on all mortgages		• 4 years must have elapsed from either a housing event or prior bankruptcy.					
Geographic Restrictions							
• Not permitted in MS, NJ, NY, TN, or TX • HI: Delegated Correspondent Channel only • IL: 2nd liens in IL are ineligible for TRID loans located in Cook, Kane, Peoria and Will Counties. Does not apply to Correspondents. • MD: Baltimore City Row Homes are ineligible.							
General Requirements							
Product Type	• Fixed Closed End Second • Manual Underwriting only – Not eligible for Express (DU) .						
Available Terms	• Fixed Rate Fully Amortizing: 15-Year, 20-Year, 25-Year, and 30-Year						
Loan Amounts	• Min: \$125,000 – Max \$500,000						
Occupancy	• Primary and Second Home						
Borrowers	• Non-Occupant Co-Borrowers are not permitted on the 1st or 2nd lien.						
Loan Purpose	• Purchase, Rate/Term Refinance and Cash Out						
Cash-Out	• Cash-out with less than six (6) months seasoning is permitted, provided the LTV is based off the lesser of the purchase price or the appraised value. • For a refinance transaction paying off an existing subordinate lien, if that subordinate lien was a cash out transaction, a minimum of six (6) months seasoning must elapse prior to the new refinance.						
Borrower Eligibility	• U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens with a valid SSN • Borrowers must meet all guideline requirements including the minimum tradeline requirements.				Ineligible: • ITIN • DACA • Non-Occupant Co-Borrowers on the 1 st or 2nd lien.		
Appraisals	• Full interior/exterior appraisal required.						

Property Type ¹	• Single Family, Attached, Detached • PUD • Townhouse • Warrantable Condos • Non-Warrantable Condominium: reduce 5% from Matrix LTV • Condotels not permitted.
Rural Properties	• Not permitted.
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV.
Full Doc - Income Requirements	
Wage/Salary	• Paystubs, W-2 or e-VOE, 2 Years Tax Returns, IRS Form 4506, plus • Verbal VOE is required within 10 days of Note Date for wage earners.
Self-Employment	• 2 Years Personal and Business Tax Returns, YTD P&L, IRS Form 4506, 2 months of most recent bank statements • Verbal VOE is required within 30 days for self-employed borrowers
Alt Doc - Income Requirements	
Personal Bank Statements:	• 24 months of Personal and 2-months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements. • The business bank statements must reflect business activity and transfers to the personal account. • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.
Business/Co-Mingled Bank Statements:	• 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ◦ Fixed Expense Ratio (50%); OR ◦ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ◦ 3rd party prepared Profit & Loss Statement (CPA or EA) • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.
24 months CPA/EA Prepared Profit & Loss Statement	• 24 months P&L, prepared by CPA, EA or Tax Preparer • Minimum of 2-months business bank statements • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history
IRS Form 1099	• 2 Years 1099 • Fixed Expense Ratio of 10% • YTD Documentation to support continued receipt of income from same source.
Asset Utilization	• Not permitted
Underwriting Requirements	
Mortgage History	• 0x30x24
Housing Event and BK Seasoning	• 4 years
DTI Requirements	• Max 50% Primary • Max 43% Second Home
Credit Score	• Middle of 3 scores or lower of 2 for Primary Income Earner. • Additional borrowers must have a minimum score of 540.
Tradelines	• If the Primary wage earner has 3 credit scores, there are no further tradeline requirements. • Otherwise, trades must meet one of the following: • 3 reporting for 12+ months + activity within most recent 12 months (may be closed) • 2 reporting for 24+ with activity within most recent 12 months (may be closed) • 24-months mortgage history reporting on credit report with a score
I/O First Mortgage Qualifying Requirements	• Interest Only (I/O) First Mortgage must be qualified at the fully amortizing P&I payment
Reserves	• 6 months' reserves required. • Cash out may be used to satisfy requirement
Gift Funds	• Gift funds permitted provided borrower meets minimum contribution: • 5% primary • 10% second home • Gift funds not permitted to be used towards reserves
Assets	• 30-days asset verification required • Deposits > 50% of gross income or average deposits on a bank statement loan must be documented on purchases

Residual OO and 2nd Homes only	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43%: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 • Add \$150 per additional household member
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Not permitted

DSCR SUPREME

Min Credit Score	Max Loan Amount	Max LTV Purchase & Rate/ Term	Max LTV Cash-Out Refinance	Property Type
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
720	1,500,000	80	75	
	2,000,000	75	70	
Housing & Credit Event Seasoning Requirements				
Credit Event Minimum Requirements BK/FC/SS/DIL/Mod	Borrowers with significant derogatory credit events must meet the following criteria: • All borrowers must have reestablished acceptable credit verified after the credit event. • Borrowers with unrelated multiple significant credit events are ineligible. • Minimum 4 years must have elapsed from the date of the credit event.			
Geographic Restrictions				
• FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible. • HI: Wholesale – Ineligible, Does not apply to Correspondents. • MD: All Row Homes located in Baltimore City are ineligible. • NY: ○ See NY Subprime section for requirements. ○ Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).				
General Requirements				
DSCR Ratio	• Min 1.00 • Min 1.15 Short Term Rentals • Min 1.25 First Time Investors			
Product Type	• 30 Year Fixed Fully Amortizing • 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 5/6 & 7/6 SOFR ARMs – 30 Yr Terms Only			
Loan Amounts	• Min \$150,000 - Max \$2,000,000			
Occupancy	• Investment Properties Business Purpose ONLY			
Loan Purpose	• Purchase, Rate/Term, and Cash Out			
2-1 Buydown	• Not permitted.			
Cash Out	• Minimum of 6 (six) months seasoning from most recent transaction • Exceeds the Rate/Term thresholds for max cash back: the lesser of \$5,000 or 2% of the loan amount. • > 50% LTV: Max \$1.0M • <= 50% LTV: Unlimited • Not permitted in Declining Markets			
Investor Experience	• Not required.			
Business Purpose Other	• No max financed properties • Entity vesting with fee simple ownership eligible.			
Borrower Eligibility	• US Citizens • Permanent Resident Aliens	Ineligible: • ITINs or DACA • Foreign Nationals • Non-Permanent Resident Alien		
First Time Home Buyer	• Considered. See Guidelines			
Property Type	Single Family (Attached, Detached), PUD	• SFR with 1 or more ADU or 2-4 units with 1 ADU allowed provided the subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations.		
	2-4 Units	• Reduce Matrix LTV by 5% • 2-4 units with 1 ADU allowed provided the subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations.		

	Warrantable Condos	• Max 75% LTV
	Leasehold	• Not permitted
Rural Properties	• Not Permitted	
Appraisals All Properties	- Appraisal Review Product to be ordered on all loans with an SSR over 2.5 except when HPML requirements call for a full second appraisal. - C3 condition rating or better. - Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/	
Acreage	• Max 2 acres	
Declining Markets	- Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV. - Cash Out not permitted in Declining Markets.	

Rental Income Requirements

General Requirements:

- All refinance transactions require the property to be leased. Vacant property is not eligible except for properties leased through short term rental agencies; or with evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such.
- Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member.

Short Term Rentals:

- Defined as properties leased on a nightly, weekly, monthly, or seasonal basis.
- ALL STRs require evidence from third party vendor validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs which are ineligible for purchase by NQM Funding.
- Min DSCR ≥ 1.15
- Max LTV: Lesser of 75% or the LTV/CLTV available per the matrix.
- Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs.

Short Term Gross Rental Income:

- One of the following options depending upon the transaction:
 - 1007/1025 or
 - Alternative Short Term Rent Analysis form developed by an AMC or
 - 12-month look back on rents received using bank statements or 3rd party rental statements

When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents.

Long Term Gross Rental Income:

- If using the lesser of market rents or the lease, nothing further is required.
- If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%.
- If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%.

DSCR Ratio Calculation:

DSCR Ratio = Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)

Underwriting Requirements

Housing / Rental History	• 0x30x12
Credit Score	- For each borrower, the qualifying score is as follows: - A minimum of 2 scores required. - Borrowers with three credit scores: use the lowest middle score of all borrowers to qualify. - Borrowers with 2 credit scores: use the lower of the two scores to qualify.

Tradelines	• Tradeline requirements may not be waived when the primary borrower has 3 credit scores. • Each borrower must have a minimum of 3 traditional tradelines rated at least 12 months, OR 2 tradelines for 24+ months, OR 24-month mortgage history reporting on credit. • Tradelines must reflect an acceptable payment history – no exceptions. • Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable provided tradeline closed in the last 12 months.
Reserves	Reserves PITIA or ITIA, as applicable: ○ ≤ \$500,000 = 3 months ○ > \$500,000 to \$2,000,000 = 6 months • Cash-out proceeds can be used to satisfy reserves.
Gift Funds	• Allowed after a minimum 10% borrower contribution. • Gift funds may not be used to meet reserve requirements.
Assets	• 30-day asset verification required
Subordinate Financing	• Not Permitted
Escrow Waivers	Waiving escrows for taxes and insurance* is allowed on non-HPML loans and for the following product types if housing/rental history is 0x30x12: • May not waive escrow for flood insurance premiums for properties located in zones A or V. • Note: Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed. • LLPA applies.
Age of Documentation	• Credit - 120 days. • Assets - 90 days
Prepayment Penalty	• Required where permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	• 6% maximum

INVESTOR DSCR

INVESTMENT PROPERTY (BUSINESS PURPOSE)						
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refinance	Max LTV Cash-Out Refinance	Property Type	
>=1.00 DSCR						
740	<= 100,000	70	70	65	Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums and Condotels	
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	80	80	75		
	1,000,000	85	80	75		
	1,500,000	85	75	70		
	2,000,000	75	75	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
720	<= 100,000	70	70	65		
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	80	80	75		
	1,000,000	85	80	75		
	1,500,000	85	75	70		
	2,000,000	75	75	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
700	<= 100,000	70	70	65		
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	75	75	70		
	1,500,000	75	75	70		
	2,000,000	70	70	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
680	<= 100,000	70	70	65		
	100,000 – 125,000	75	75	70		
	>125,000 - 150,000	75	75	70		
	1,500,000	75	75	70		
	2,000,000	70	70	60		
	2,500,000	70	70	60		
660	<= 100,000	70	65	60		
	100,000 – 125,000	70	65	60		
	>125,000 - 150,000	70	65	60		
	1,000,000	70	65	60		
	1,500,000	65	60	55		
	2,000,000	60	55	50		
< 1.00 DSCR Note Minimum DSCR is .75						
740	1,000,000	75	75	70		Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums and Condotels
	1,500,000	75	75	70		
	2,000,000	75	75	60		
720	1,000,000	75	75	70		
	1,500,000	70	70	65		
	2,000,000	65	65	NA		
700	1,000,000	75	75	70		
	1,500,000	70	70	65		
	2,000,000	65	65	NA		
680	1,000,000	65	65	60		

No Ratio					
740	1,000,000	75	75	65	Single Family, 2-4 Units, Warrantable & Non-Warrantable Condominiums and
	1,500,000	70	70	60	
720	1,000,000	70	70	60	
	1,500,000	65	65	60	
700	1,000,000	65	65	60	
	1,500,000	65	65	60	
Housing History		Housing Event Seasoning			
0x30x12 – No reduction 1x30x12: 5% LTV reduction - Past due balloon will be considered a delinquency (1x30) not a housing event, only if within 180 days of maturity. 1x30 not permitted on No Ratio		<u>BK/FC/SS/DIL/Mod:</u> >=36 Months: No reduction >=24 Months: - Max 75% LTV Purchase - Max 70% LTV Rate/Term & Cash-out - Discharged Ch 13, use filing date; min 1yr discharged. - Dismissed Ch 13, use dismissal date. <u>No Ratio:</u> - Requires 3+ years from a housing event. - Multiple BKs not permitted. - Chapter 13s must be discharged or dismissed 24+ months.			
Geographic Restrictions					
- FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible. - HI: Wholesale – Ineligible, Does not apply to Correspondents. - MD: - Primary and Second Home loans are ineligible - All Row Homes located in Baltimore City are ineligible. - NY: - No 5/6 ARMs on OO loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).					
General Requirements – Investor DSCR					
DSCR Ratio	Varies based on the grid above and requirements herein.				
Product Type	30 Year and 15 Year Fixed 40-Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 75% LTV 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 80% LTV				
Interest Only	- Min Credit Score: 640 when DSCR >= 1.00 - Min Credit Score: 700 when DSCR < 1.00 - Interest Only not allowed on No Ratio Loans - Borrower to qualify using the IO payment based on the qualifying rate.				
Loan Amounts	- Min: \$75,000 and Max \$3,000,000 - Loan Amounts \$75,000 to < \$125,000: 1.00 DSCR Required				
Occupancy	Investment Properties (Business Purpose)				
Loan Purpose	Purchase, Rate/Term, and Cash Out				
2-1 Buydown	- Purchase Only - Seller Paid Buydown/Concession - Min Score 680 - Min DSCR >= .75 - Borrower qualifies at fully amortized rate (pre-buydown) - Lender Paid or 3rd Party Paid Buydown (Excluding Real Estate Agents, Brokerages, Borrower, or relatives) permitted for Correspondent Clients only				
Cash-Out	- LTV > 60% = \$1,000,000 or when DSCR is >=.75 unlimited cash out permitted with 18 months reserves exclusive of cash back - LTV <=60% = Unlimited - NOTE: that cash-in-hand limits do not apply to Delayed Financing Transactions - Cash out refinances on properties acquired in the past 12 months require DSCR of .75 - Condos in FL max LTV 75%				
Investor Experience	Not Required				

Borrower Eligibility	• Us Citizens • Permanent Resident Aliens • Non-Permanent Resident Alien (US Credit only) (not permitted on No Ratio Cash-Out) (see Guidelines for No Ratio Visa Restrictions)		<u>Ineligible:</u> • ITIN • DACA • Foreign National
First Time Homebuyer	• Considered, See Guidelines		
Max Financed Properties	• No Max (except No Ratio – see below) • See Maximum exposure to NQM in the Guidelines		
Property Types	2-4 Units Restrictions	• 2 Units - Refinance: ◦ Max LTV: 80% • 3-4 Units - Refinance: ◦ ≥ 1.00 DSCR = Max LTV 75% ◦ < 1.00 DSCR = Max LTV 70%	
	Condos (Warrantable and Non-Warrantable)	<u>Condos:</u> • Ineligible for $> 80\%$ LTV • 720+ Purchase/R&T: Max 80% • < 720 Purchase/R&T: Max 75%	• 720+ Cash Out: Max 75% • < 720 Cash Out: Max 70%
	Condotels	<u>Purchase or Rate/Term:</u> • 700 Score / Max LTV 70% • 680 Score / Max LTV 65%	<u>Cash Out:</u> • 700 Score / Max LTV 65% • 680 Score / Max LTV 60%
		• Min DSCR $\geq .75$ • Max Loan Amount: \$1,500,000	
Rural Property	• Properties in a resort area (only will be considered as follows: ◦ Maximum LTV of 65% and ◦ Min DSCR ≥ 1.00. ◦ Examples of acceptable resort areas include beach towns, ski resort areas, golf communities or communities with other major recreational activities. ◦ If property is accessible by a gravel road and distance of comparable is > 1 mile away, the property could be considered rural even if it is marked suburban, and then Max LTV is the lesser of 65% LTV or the applicable Matrix LTV. ◦ Properties must be accessible by roads that meet state/local minimum standards. • Properties must be suitable for year-round occupancy regardless of location.		
Appraisals	• 2nd Appraisal required for all loan amounts $> \\$2.0M$ with a DSCR $\geq .75$. • No Ratio loans with loan amounts $> \\$1,500,000$ require 2 appraisals. • Appraisal Review Product to be ordered on all loans with an SSR over 2.5 with the exception of those with a full second appraisal. • C3 condition rating or better. • Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/		
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when $> 65\%$ LTV.		
Acreage	• 2 acres		
No Ratio Restrictions	• No Cash Out for Non-Permanent Resident Aliens • No escrow wavier • All refinance: Property can't be listed for sale in the last 12 months prior to the application date. • Entity vesting: no layering of entities • Multiple Financed Properties: Max 20 • All derogatory revolving and installment accounts 50 days delinquent within 4 years of closing require full explanation • Non-title charge-offs and collections within three years and exceeding \$5,000 (individually or aggregate) must be paid. Medical collections less than \$15,000 are not required to be paid • IRS tax payment plans approved by the IRS are permitted on No Ratio loans provided they are current and do not carry a lien on the property.		

	• A copy of the approved repayment plan is required. • A minimum of 2 months has elapsed on the plan and evidence of timely payments for the most recent 2 months is provided. • Short term rentals are not permitted • Assets: business asset are permitted provided: Borrower has 100% ownership of the business. • Continuity of obligation: see Guidelines • Tradeline Requirements – see below • 0x30x12 combined housing history • Three year seasoning on housing event required • Multiple bankruptcies not permitted • Refinance: lease not required for long term rental income • Reserves – see below
Income Requirements – Investor DSCR	
Income	General Requirements: • All refinance transactions require the property to be leased. Vacant property is not eligible except for properties leased through short term rental agencies; or with evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. • Property cannot be occupied by the borrower(s), any member of the borrower’s LLC or any family member. • Short Term Rental not eligible on No Ratio. Short Term Rentals: • Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. • ALL STRs require evidence from third party vendor validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs which are ineligible for purchase by NQM Funding. • Min DSCR ≥ 1.15 • Max LTV: Lesser of 75% or the LTV/CLTV available per the matrix. • Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs. Short Term Gross Rental Income: • One of the following options are available:: ○ 1007/1025 or ○ Alternative Short Term Rent Analysis form developed by an AMC or ○ 12-month look back on rents received using bank statements or 3rd party rental statements When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property’s rents. Long Term Gross Rental Income: Purchase: • Acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. If the property is currently tenant occupied: • If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease. ○ If the 1007/1025 is higher than the current lease, it’s permissible to use the higher market rents to qualify. ○ If using a higher lease amount, evidence of 2-months of receipt is required and the lease must be within 120% of the estimated market rent from the 1007/1025. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%.

	Refinance ○ On a Delayed Financing transaction, the property may be leased at the time of the appraisal provided it complies with the DSCR Delayed Financing section. ○ FNMA 1007/1025 required, along with one (1) of the following: ○ Executed lease with no less than 1 month remaining at time of closing is required for all units in the subject property. Month-to-month tenancy is not subject to this requirement with sufficient evidence (such as a signed extension letter, or 1007, which includes a review of the current lease confirming month-to-month). ○ For recently rehabbed properties or for properties being rented through a short-term rental service, evidence the property is currently listed for rent. In these situations, it's permissible for the property to be vacant at the time of inspection. ○ Leases are not required on no ratio loans. Monthly gross rents are calculated as follows: ○ If using the lesser of market rents or the lease, nothing further is required. ○ If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%. ○ If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%. DSCR Ratio Calculation: • $\text{DSCR Ratio} = \text{Short or Long Term Gross Rental Income} / \text{PITIA Fully Amortizing or ITIA (for IO Loans)}$
Underwriting Requirements – Investor DSCR	
General	• Loan amounts $\geq \\$75K$ - $< \\$125K$ require a min DSCR of 1.00 • Cash out refinances on properties acquired in the past 12 months require a min DSCR of .75 • Minimum DSCR .75 unless qualifying using the No Ratio guides. • Condotels min DSCR $\geq .75$ • Short Term Rentals min DSCR ≥ 1.15
Credit Score	• Lowest Middle score of all borrowers.
Tradelines when DSCR is .75 or greater	• All borrowers have 3 scores: OR ○ Min: 2 open and reporting 24 months; OR ○ 3 open and reporting 12 months; OR ○ 24-months mortgage rating reporting on credit.
Tradelines – No Ratio	• Each borrower must have a minimum of two trades within 24 months that show a 12-month history OR a combined credit profile between both borrowers with a minimum of three tradelines. • Tradeline activity is not required. • Eligible trades cannot have delinquency in the past 24 months. • Current housing, not reporting on credit may count as a trade if cancelled checks/debits are provided.
Reserves ($\geq .75$)	• Loan Amount to \$500K and $\leq 80\%$ LTV = 3 months of PITIA • Loan Amount to \$500K and $> 80\%$ LTV = 6 months of PITIA • Loan Amount $> \\$500K$ to $\\$2.0M$ = 6 months of PITIA • Loan Amount $> \\$2.0M$ = 12 months of PITIA • 2-4 Units at 80% LTV requires greater of 6 months or reserves indicated above. • Cash out may be used to satisfy requirement
Reserves – No Ratio	• Loan Amount $\geq \\$75K$ to \$500K – 3 months of PITIA • Loan Amount $> \\$500K$ to $\\$2.0M$ = 6 months of PITIA • Cash out may be used to satisfy requirement
Gift Funds	• Allowed after min 10% borrower contribution. • Cannot be used to meet reserve requirements
Assets	• 30-day asset verification required

Subordinate Financing	• Not Permitted
Escrow Waivers	Waiving escrows for taxes and insurance* is allowed on non-HPML loans and for the following product types if housing/rental history is 0x30x12: • May not waive escrow for flood insurance premiums for properties located in zones A or V. • Max LTV 80% • Not permitted for No Ratio loans. • Note*: Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed. • LLPA applies.
Age of Documentation	• Credit - 120 days • Assets - 90 days
Prepayment Penalty	• Required on Investment Properties where permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	• ALL = 6%

DSCR MULTI & MIXED (5-10 UNITS MULTI OR 2-8 UNITS MIXED)

Investment Property (Business Purpose)					
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refinance	Max LTV Cash-Out Refinance	Property Type
>=1.00 DSCR					
720+	1,500,000	75	75	70	Residential 5-10 Units and Mixed Use 2-8 Units
	2,000,000	75	70	65	
	2,500,000	70	70	65	
	3,000,000	70	70	65	
Housing History		Housing Event Seasoning			
0x30x24		• BK/FC/SS/DIL/Mod: 24 Months			
Geographic Restrictions					
- FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible. - HI: Wholesale – Ineligible, Correspondents - Eligible - MD: All Row Homes located in Baltimore City are ineligible. - NY: - See NY Subprime section for requirements. - Mixed Use and Multi Housing Product ineligible in Orange County.					
General Requirements					
Product Type	30-Yr Fixed, 15-Yr Fixed 40 Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) 30 Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 and 7/6 SOFR ARMs, 30 Yr Term – Fully Amortizing				
Interest Only	• Max LTV: 75%				
Loan Amount	- Min: \$250,000 and Max \$3,000,000 - Loan sizes under \$400,000 require a 5% reduction to LTV				
Occupancy	• Investment Properties (Business Purpose)				
Loan Purpose	• Purchase, Rate/Term, and Cash Out				
2-1 Temporary Buydown	• Not permitted.				
Cash-Out	• Max cash-out: \$1,000,000				
Investor Experience	- No First Time Investors for 2-8 units - Mixed Use. Borrower must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years - First Time Investors are permitted on 5-10 Unit Residential properties with a 0x30x24 housing history or when the primary is owned free and clear.				
Borrower Eligibility	- U.S. Citizens - Permanent Resident Aliens - Non-Permanent Resident Aliens (See Geographic Restrictions above) - Foreign Nationals (See below)				
First Time Homebuyers	• Considered, See Guidelines				
Foreign National	- Min DSCR >= 1.00 - Foreign Credit is permitted. - Reserves: 12 months PITIA LTV requirements: <= \$2.0M = Purch & R/T: 70% LTV or Cash-Out: 65% LTV > \$2.0M - \$2.5M = Purch & R/T: 65% LTV or Cash-Out: 60% LTV > \$2.5M - \$3.0M = Purch & R/T: 60% LTV or Cash-Out: 55% LTV				
Max Number of Financed Properties	• No restrictions				

Property Type	- Residential 5-10 Units - Mixed Use 2-8 units. For properties with less than 5 units, at least 1 unit must be commercial. 2-3 Units: Max 1 commercial unit 4-5 Units: Max 2 commercial units 6-8 Units: Max 3 commercial units - Commercial space must not exceed 49% of the total building area - Multiple buildings on one parcel are not permitted.
Rural Properties	Not permitted
Property Requirements	- Minimum 400 square feet per unit - Must be accessible for year-round residential use. - Contain a full kitchen and bath. - Represent the highest and best use of the property. - Not contain any health or safety issues
Property Condition	- No fair or poor ratings - No environmental issues (Storage or use of hazardous material, ex. Dry Cleaners, Laundromat) - No health or safety issues as noted by the appraiser (ex. Broken windows, stairs, etc.) - No excessive deferred maintenance that could become a health or safety issue for tenants. - No structural deferred maintenance (ex. Foundation, roof, electrical, plumbing)
Unleased Units	Refer to Underwriting Guidelines.
For Sale by Owner	Not permitted
Appraisals	<u>Residential 5-10 units:</u> - FHLMC 71A - FHLMC 71B for loan amounts < \$750K (Correspondent only) - Narrative report may be used but is not required. <u>Mixed Use 2-8 Units:</u> - FHLMC 71A - FHLMC 71B for loan amounts < \$750 (Correspondent only) - General Purpose Commercial Forms (ex. GP Commercial Summary Form) or Narrative report - Loans > \$2M, a second appraisal is not required if the 71A or Commercial Narrative report is provided. The following are required with each report: - Full Interior Inspection of each unit - Rent roll. - Income and Expense Statement - Photos of subject including exterior/interior and street scene - Aerial photo - Sketch or floor plan of typical units. - Map - Appraiser qualifications - BPO to be ordered on all transactions with the exception of those including two full appraisals.
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV.
Income Requirements	
Income	- Use lower of Estimated market rent or lease agreement on a refinance. - Purchases use the estimated market rent. - For leases that have converted to month-to-month, provide 2 months bank statements to support rental income. - Vacant unit(s) – See Guidelines. - Reduce qualifying rents by any management fee reflected on the appraisal report. 2-8 Mixed Use: Income from commercial space must not exceed 49% of the total property income. - Minimum DSCR >=1.00

Underwriting Requirements	
Credit Score	• Middle of 3 scores or lower of 2 of all Borrowers
Tradelines	• All borrowers have 3 scores: or • Min: 2 open and reporting 24-months; or • 3 open and reporting 12-months.
Reserves	• Loan Amt <= \$1.5M: 6 Months PITIA • Loan Amt > \$1.5M - \$2.0M: 9 months PITIA • Loan Amt > \$2.0M - \$2.5M: 12 Months PITIA • Loan Amt > \$2.5M - \$3.0M: 12 Months PITIA • Cash out may be used to meet reserve requirements
Gift Funds	• Allowed after min 10% borrower contribution. • Cannot be used to meet reserve requirements
Assets	• 30-day asset verification required
Subordinate Financing	• Not Permitted
Escrow Waiver	• Not Permitted
Age of Documentation	• Credit - 120 days • Assets - 90 days
Prepayment Penalty	• Required where permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	• ALL = 6%

FOREIGN NATIONAL

2 nd HOME (1-UNIT ONLY) - 2 YEAR FULL DOC / ASSET UTILIZATION INVESTMENT PROPERTIES (1-4 UNITS - REDUCE LTV BY 5%)						
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase	Max LTV/CLTV R/T Refi	Max LTV/CLTV Cash-Out Refi	Property Type	
700+	1,500,000	75	70	65	Single Family, 2-4 Units, Warrantable and Non-Warrantable Condo, and Condotel	
	2,500,000	70	70	65		
	3,000,000	65	65	60		
Foreign Credit	1,000,000	70	70	65		
	1,500,000	70	70	65		
	2,500,000	65	65	60		
	3,000,000	60	60	55		
Housing History	Housing Event Seasoning		First Time Investor	Unleased Properties		
0x30x12	BK/FC/SS/DIL/Mod: > 48 Months		Allowed	Not Allowed on Refinances		
DSCR – INVESTMENT (BUSINESS PURPOSE ONLY)						
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refi	Max LTV Cash-Out Refi	Property Type	
DSCR >=1.00						
700+	2,000,000	70	70	65	Single Family, 2-4 Units, Warrantable and Non-Warrantable Condo, and Condotel	
	2,500,000	65	65	60		
	3,000,000	60	60	55		
Foreign Credit	2,000,000	70	70	65		
	2,500,000	65	65	60		
	3,000,000	55	55	50		
Housing History	Housing Event Seasoning		First Time Investor	Unleased Properties		
0x30x12	BK/FC/SS/DIL/Mod: >= 36 Months		Allowed	Not Allowed on Refinances		
Geographic Restrictions						
- FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible. - HI: Wholesale – Ineligible, Does not apply to Correspondents. - IL: Ineligible only for TRID Loans located in Cook, Kane, Peoria and Will Counties, IL. - Restriction does not apply to Correspondents. - MD: All Row Homes located in Baltimore City are ineligible. - NY: - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).						
General Requirements						
DSCR Ratio	- Min 1.00 - Min 1.15 Short Term Rentals					
DTI Requirements	- Applies to Second Homes only: - Max 50% for Full Doc or Asset Utilization					
Product Type	30-Yr Fixed, 15-Yr Fixed 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing).					
Interest Only	Eligible on 30-Yr Fixed I/O					
Loan Amounts	Min: 150,000 and Max \$3,000,000 (no exceptions)					
Occupancy	- Full Doc – 2nd Home (1-Unit only) and Investment Properties 1-4 Units (Business Purpose) - DSCR – Investment Properties 1-4 Units (Business Purpose)					
Loan Purpose	Purchase, Rate/Term, and Cash Out					
2-1 Buydown	Not permitted.					
Non-Occupant Co-Borrower	Permitted when the non-occupying homebuyer is a US Citizen taking title to the property					
Cash-Out	> 55% LTV = \$1,000,000; or if <= 55% LTV = Unlimited					

Property Types	Condos and 2-4 Units	- Condos: Warrantable and Non-Warrantable - Condos and 2-4 Units Max LTV/CLTV: - Purchase and Rate/Term = 70% - Cash-out = 65%	
	Condotels	<u>Full Doc 2nd Home & NOO Purchase or Rate/Term</u> Max 70% LTV	<u>DSCR Purchase or Rate/Term</u> Max 65% LTV
		<u>Full Doc 2nd Home & NOO Cash Out</u> Max 60% LTV	<u>DSCR Cash Out</u> Max 60% LTV
	Multi-Family and Mixed Use	- Max Loan Amount \$1,500,000 - Must have full kitchen & 1 separate bedroom. - Must be in a resort area or affiliated with a national hotel chain. - Refer to the NQMF DSCR Multi & Mixed Program Matrix.	
Rural Property	- Permitted in resort areas only with the following restrictions: - If property is accessible by a gravel road and comparable distance are > 1 mile away, the property could be considered rural even if it is marked suburban, and then: - Max LTV is the lesser of 65% LTV or the applicable Matrix LTV. - Examples of acceptable vacation/resort areas include beach towns, ski resort areas, golf communities or communities with other major recreational activities.		
Appraisals	2nd Appraisal required for loan amounts > \$2M. - C3 condition rating or better. - Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/		
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV.		
Acreage	Max 2 acres		
Full Doc - Income Requirements			
Salary / Wage Earner	- For Investment Properties, reduce matrix LTV by 5%. - Paystubs covering a minimum of 30-days (which include YTD income) and ONE of the following: - W-2 equivalent; OR - Two (2) years tax returns from borrower country of origin; OR - A letter from employer on company letter head providing current monthly salary, YTD earnings and total earnings for the past 2-years. Letter from employer must be on company letterhead, including address and company web address, Employer to be independently verified (LexisNexis, D&B, Google, other). All docs must be translated by an independent certified translator.		
Self-Employment	- Must be self-employed for a minimum of 2 years evidenced by a letter from the borrower's CPA or local equivalent (the "Accountant") on Accountant letterhead. The letter must include income figures for each of the last 2 years and YTD income. A business license (where required) and organization documents should be provided; and - A copy of the Accountant's current license is required. The Business & Accountant must be independently verified; and - All documents must be translated by an independent certified translator.		
Rental Income	Permitted. See Rental Income in Guidelines		
Alt Doc - Income Requirements			
Asset Utilization	- For Investment properties, reduce Matrix LTV by 5% - May be used as a sole source of income or combined with other income. - Eligible assets must be sourced and seasoned for a minimum of three (3) months. - Foreign National borrowers must have the lesser of (a) 1.5 times the loan balance or (b) \$1M in Qualified Assets, both of which must be net of down payment, closing costs, and required reserves to qualify. - The income calculation is as follows: - Monthly Income = Net Qualified Assets / 60 Months - Foreign Assets are eligible – see Guidelines		

DSCR - Income Requirements	
DSCR	<u>General Requirements:</u> - All refinance transactions require the property to be leased. Vacant property is not eligible except for properties leased through short term rental agencies; or with evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. - Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member. <u>Short Term Rentals:</u> - Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. - ALL STRs require evidence from third party vendor validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs which are ineligible for purchase by NQM Funding. - Min DSCR ≥ 1.15 - Max LTV: Lesser of 70% or the LTV/CLTV available per the matrix. - Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs. <u>Short Term Gross Rental Income:</u> - One of the following options are available: 1007/1025 or - Alternative Short Term Rent Analysis form developed by an AMC or 12-month look back on rents received using bank statements or 3rd party rental statements When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents. <u>Long Term Gross Rental Income:</u> - If using the lesser of market rents or the lease, nothing further is required. - If using a higher lease amount, evidence of 2-months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%. - If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%. <u>DSCR Ratio Calculation:</u> - DSCR Ratio = Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)
	Underwriting Requirements
	Documentation Requirements - Copy of the Borrower's unexpired passport. - Refer to Guidelines for additional requirements not limited to being cleared through OFAC's SND list.
	Credit Score - Use primary income earner Representative score - The primary income- earner must have a valid score from at least 2 of the following 3 agencies: Experian (FICO), TransUnion (Empirica), and Equifax (Beacon). Only scores from these agencies are acceptable. - To determine the Representative Credit Score for the primary wage-earner, select the middle score when 3 agency scores are provided and the lower score when only 2 agency scores are provided.
	Tradelines Minimum: 2 open and reporting 24-months or 3 open and reporting 12-months even if 3 credit scores are available. See Guidelines for requirements
	Non-Occupant Co-Borrower Permitted when the non-occupant co-borrower is a US Citizen who will be taking title.
	Reserves 12-months of PITIA 6-months with 5% LTV reduction. - Cash out may be used to satisfy requirement. - Reserves not required when using Asset Utilization as sole source of income.

Gift Funds	• Permitted as long as borrower has 10% own funds for downpayment, closing costs, plus reserves. • Max loan amount of \$1.0M when there is a gift • Considered for reserves
Assets	• 30-days asset verification required for US Based Accounts; 60-days for Foreign Assets • Deposits > 50% of gross income must be documented on purchases
Subordinate Financing	• Not Permitted
FN – Residual Income 2nd Homes only	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • FN: applies to HPML loans or when the DTI > 43% on 2nd homes only: • 1 person = \$1,500 • 2 persons = \$2,500 • Add \$150 per additional household member.
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Required where permitted for Investment Properties. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	Second Homes • <= 75% LTV = 9% Investment • ALL = 6%
Escrow Waiver	• Not Permitted
ACH Payment	• Required • Financial Institution from which the ACH will be debited must be an established international financial institution and domestic presence is not required.
Other	• Power of Attorney not permitted